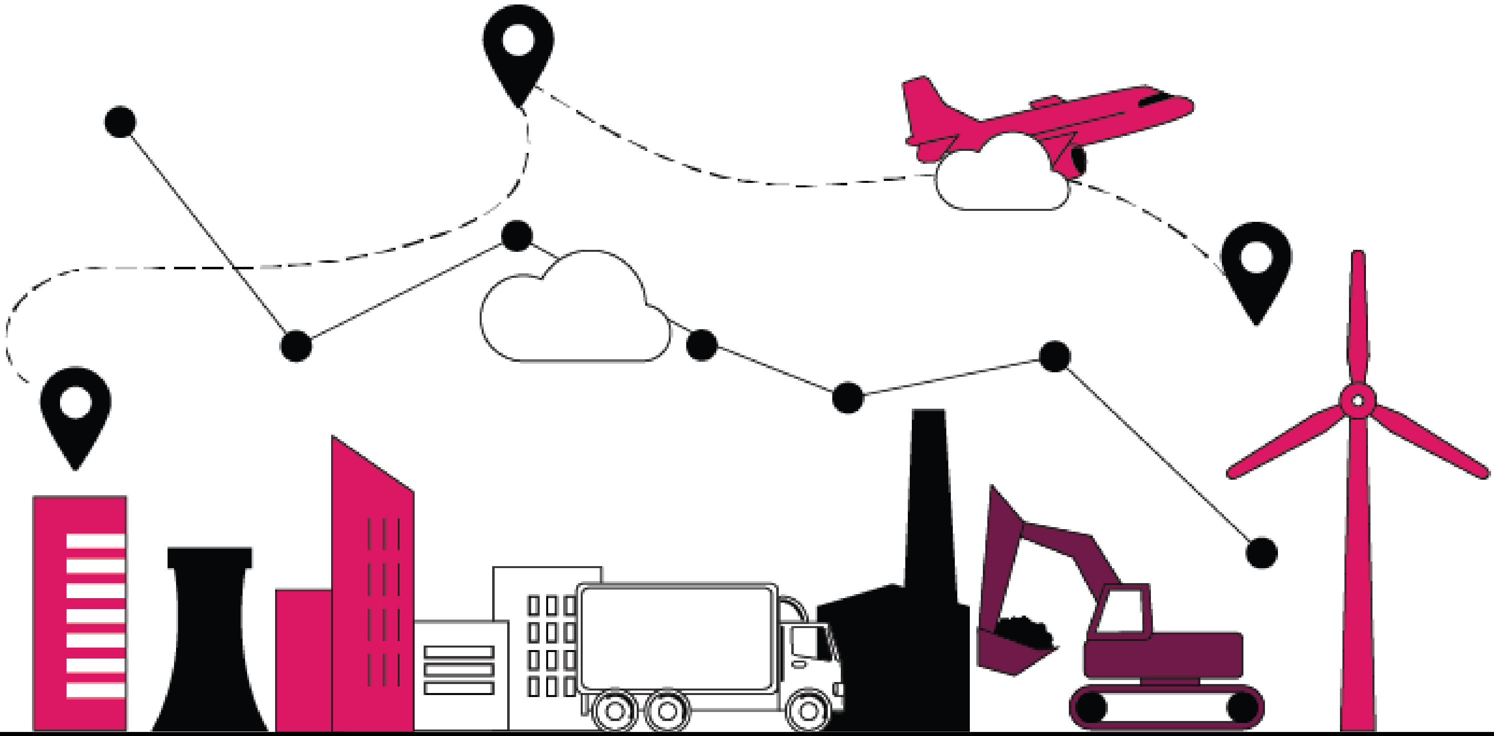
PHOENIX CORPORATE INVESTMENT SERVICES
Part of Phoenix Group

# UK EQUITY PENSION

31 May 2023



This report is produced by Phoenix Corporate Investment Services (CIS) on behalf of the Trustees for the "ABC Pension Scheme". The Trustees have selected this Fund for this pension scheme. You should read it with your pension scheme booklet and the fund factsheet. Data is as at 31 December 2022.If you've any questions or wish to discuss your investment options, you should speak to the Scheme Administrator or Trustees of your pension scheme or seek financial advice. [You can contact ABC Pension Scheme Customer Helpline on 0345 123 4567 (call charges will vary)]. You'll find our glossary of terms and extra information that you may wish to consider on the final page.
This report and the fund factsheet will only give you fund information and are not an invitation to invest or advice about the suitability of an investment for your personal financial situation. You should not make an investment decision based only on this information. You should be aware that the value of investments may fall as well as rise and is not guaranteed. You may get back less than you invest.

REALOBJECTS PDFreactor®

# Evaluation Version

This PDF document was created by an evaluation version of RealObjects PDFreactor 11.6.5 (14980). The evaluation version is fully functional, but includes this information page. It must not be used for production purposes. The information page and all other evaluation notices must not be removed from the PDF file.

**NOTE:** Conversions in evaluation mode might be slower and the results might have a larger file size than in production mode.

## Buy PDFreactor

To buy a PDFreactor license follow this link:

**Buy PDFreactor online**

## About PDFreactor

RealObjects PDFreactor is a powerful formatting processor for converting HTML and XML documents into PDF. It uses Cascading Style Sheets (CSS) to define page layout and styles. The server-side tool enables a great variety of applications in the fields of ERP, eCommerce and Electronic Publishing.

PDFreactor supports HTML5, CSS3 and JavaScript.

It allows you to dynamically generate PDF documents such as invoices, delivery notes and shipping documents on-the-fly. PDFreactor allows you to easily add server-based PDF generation functionality to your application or service. Since PDFreactor runs on a server, the end-user in general does not need any software other than a PDF viewer.

For more information visit **www.pdfreactor.com**

Created with RealObjects PDFreactor(R) Evaluation Version | https://www.pdfreactor.com

# HOW YOU INVEST COULD HAVE AN IMPACT ON THE WORLD WE LIVE IN

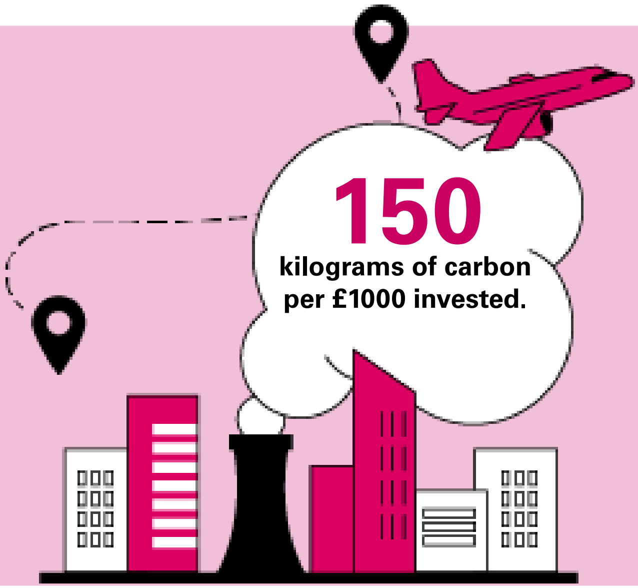
The goal of this document is to give you information on the Environmental, Social and Governance characteristics of your Fund. This document should be viewed in conjunction with the fund factsheet which outlines the objective of your Fund. As investors, it matters where we put our money. Read on to understand the impact your money is having on the planet and broader society.

## Have a look at the environmental impact your investment is having

**The Fund's carbon footprint**

The assets your Fund invested in emitted 150 kilograms of carbon per thousand pounds invested. As part of the Paris alignment goals from 2015, the world needs to reduce the carbon emissions released into the Earth's atmosphere to meet the target of net zero by 2050 and to half global carbon emissions by 2030.

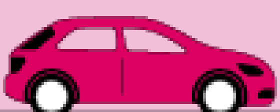
The carbon footprint is based on a data coverage of X%. The overall value could therefore be different.




To help you understand this, we've tried to put this into everyday examples. These show you the total emissions produced from driving a car, going on a long haul holiday and from powering your house. We've also shown how much carbon a tree could absorb from the Earth's atmosphere during its lifetime.

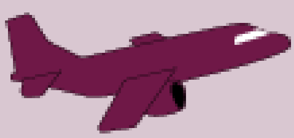
**1,480**

**kilograms, produced by the average car in 2021**



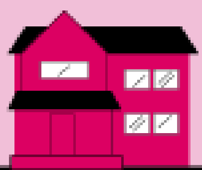
**1,550**

**kilograms, the emissions produced flying between Edinburgh and New York.**



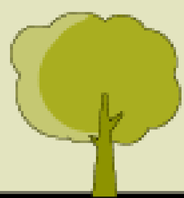
**2,800**

**kilograms of carbon, the average emissions produced to heat and power a UK home in 2021.**



**1,000**

**kilograms of carbon, the average emissions produced to heat and power a UK home in 2021.**

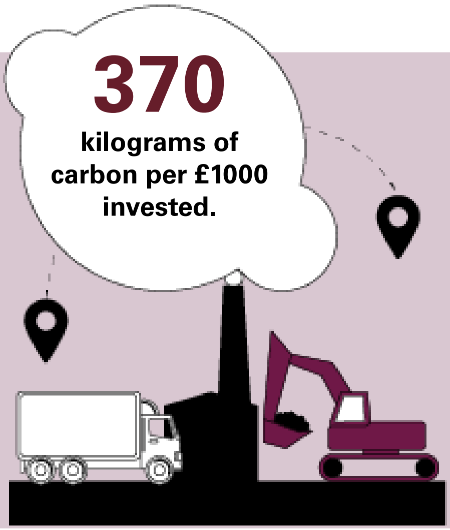


The assets you invest in produce a carbon footprint. There are also the potential emissions these assets will produce if they are reliant on fossil fuels. For example, coal being purchased to create electricity or barrels of oil being sold to create petrol. To give you an idea of how reliant the assets you invest in are on fossil fuels, we've shown the carbon reserves intensity.

**The Fund's carbon reserves intensity**

Carbon reserves are fossil fuels (oil and gas or coal) which can become carbon emissions if they're burnt. The carbon reserves stored by the assets you hold would produce 370 kilograms of carbon if used, per thousand pounds invested. To reduce the rate of global warming we need to become less dependent on fossil fuels.

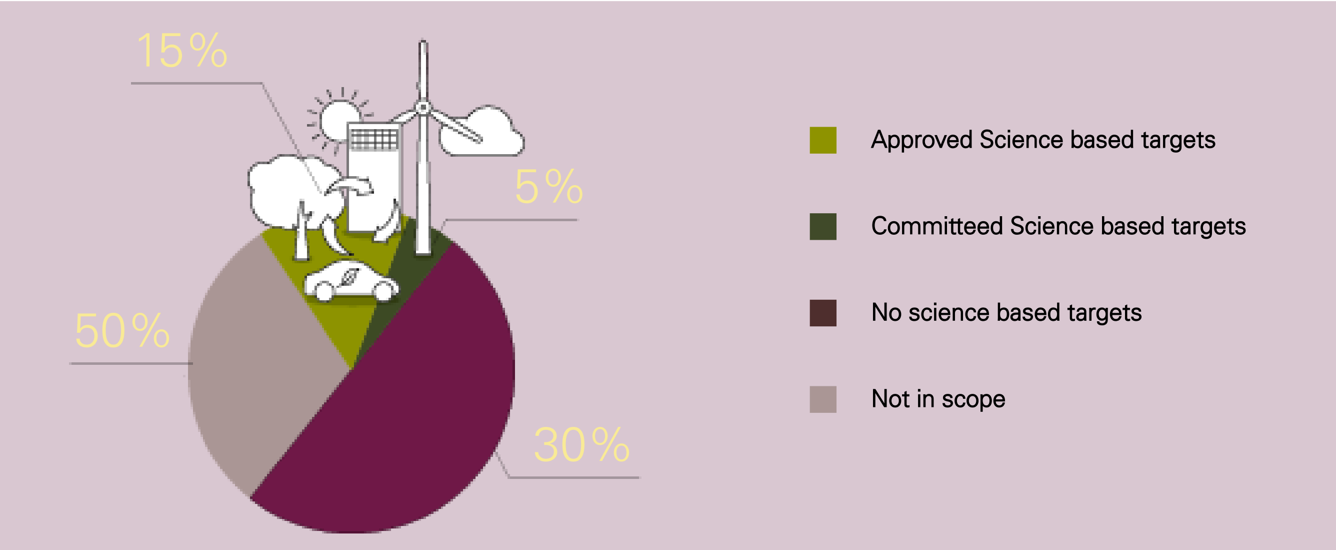
The carbon reserves intensity is based on a data coverage of X%. The overall value could therefore be different.




The metrics in this section have been calculated by FE FundInfo using data provided by ISS ESG. The coverage percentage for each metric is outlined above. This is based on Scope 1 and 2 emissions measured at 31/12/2021 and full portfolio holdings data as at 31/12/2022. It is widely known that there is generally a delay associated with emissions data, we expect this to improve over time.

# 20% OF THE ASSETS YOU'RE INVESTED IN HAVE SET INDUSTRY APPROVED DECARBONISATION TARGETS

To help support companies as they try to limit global warming to below 2°C and ideally to target 1.5°C degrees, the Science Based Targets initiative (SBTi) was set up. The SBTi works with companies to help them aim to become net zero and to support them limiting global warming from pre-industrial levels. The below shows how many of your assets have applied Science Based Targets (SBT) to decarbonisation. You should be aware that some types of investments can't apply for SBT, only companies can currently do this which you invest in through equities and corporate bonds.




**Approved targets** mean the company has set a Science Based Target for decarbonisation in line with the scale of reductions required to keep global warming well below 2°C and limit this to 1.5°C. This target has been approved by the Science Based Target initiative (SBTi).

**Committed targets** mean the company is committed to working towards the scale of reduction required to keep global warming well below 2°C and limit this to 1.5°C. They are also either working with the SBTi to gain approval of emissions reduction target or intend to do so.

**No targets** mean the company has not confirmed their intent to set a science-based target with the SBTi. They may however be working with another initiative to achieve this or have otherwise committed to decarbonisation.

**Not in scope** means this asset can't apply for a SBT at the moment. However, that doesn't mean that they aren't trying to limit their impact on global warming.

We evaluate alignment with science-based targets by referencing a company's affiliation with the Science Based Target initiative (SBTi); we only consider assets of companies that have committed to an SBTi aligned target or those who already have targets approved by SBTi as having science-based targets. Not all assets can apply a Science Based Target which may mean governments or other entities working hard to limit their environmental impact are not captured under "approved" or "committed".

# 80% OF FUND MANAGERS VOTING ON YOUR BEHALF ARE SIGNED UP TO THE UK STEWARDSHIP CODE

When you invest your pension savings, some of this will be used to buy shares in companies. The fund managers vote and engage on these shares on your behalf to make sure the companies are being managed appropriately. The UK Stewardship Code (The Code), set-up by the Financial Reporting Council, sets high stewardship standards for those investing money on behalf of UK savers. Stewardship is the responsible allocation, management, and oversight of capital to create long-term value for investors. Companies who can evidence a very strong record can apply to be a signatory of The Code. Those who are successful are meeting a very high standard when they vote and engage on your behalf. In your fund:

| | |
|---|---|
| 80% | **Of assets are managed by fund managers who have signed up to The Code, voting on your behalf.** |
| 20% | **Of assets are managed by fund managers voting on your behalf who are still to sign up to The Code.** |

Fund managers, even if previously approved, must apply to be a signatory of The Code each year with new managers approved, others retaining their status and some even being dropped. This ensures fund managers meet the demands of The Code year after year. (UK Stewardship Code | Financial Reporting Council (frc.org.uk))

Based on data supplied by the Financial Reporting Council (FRC) of fund asset owners that were signed up at DD/MM/YYYY. This list is subject to change and is reviewed annually by the FRC. As a result, asset owners who have applied will not appear until they are approved at the annual review.

# FIND OUT MORE ON YOUR FUND

The fund factsheet provides information on the asset allocation, fund objective and performance of your Fund. This information should be used in conjunction with this report. You can find the most up-to-date version, quarterly factsheet at: https://xxxxxxx.

# JARGON BUSTER

**Carbon Footprint** is the amount of carbon dioxide (CO2) emissions associated with all the activities of a person or other entity such as a building, company, or country. For this document, it is associated with the assets your fund invests in. There are various scopes of carbon emissions used to calculate this figure:

- Scope 1 covers the emissions that a company makes directly, for example from running its boilers and company cars.
- Scope 2 covers the emissions that a company makes indirectly, for example when buying in the electricity or energy needed to heat or cool buildings. Essentially these emissions are being produced on the company's behalf.

The metrics we have calculated use scope 1 and scope 2 emissions but there is a third scope:

- Scope 3 emissions is the tricky one as it includes 15 other types of indirect emissions that might be linked to a company. For example, from its supply chain and from its products when customers use them.

**Enterprise Value Including Cash (EVIC)** is how much a company's shares are worth at the end of the fiscal year plus how much a company owes in debt or other interests. We have used this methodology when valuing the underlying assets you hold which is key data point when calculating carbon emission metrics.

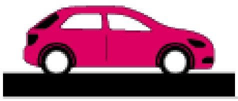
**Paris Alignment** refers to the goal set at the global Paris climate change deal in 2015. This goal was to hold the global average temperature to below 2°C and try to limit the increase to 1.5°C above pre-industrial levels.

**Science Based Targets (SBT)** are targets that have been developed in line with the scale of reductions required to keep global warming below 2°C from pre-industrial levels.

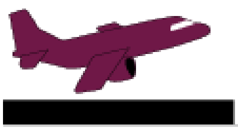
**Science Based Targets Initiative (SBTi)** provides companies with clearly defined path to reduce emissions in line with the Paris Agreement goals.

# DATA SOURCE

The data within this report is sourced from and calculated by FE Fund Info. Although Phoenix CIS takes every care to ensure that the data provided by or to external sources about their own funds is accurate, occasionally discrepancies may occur. In all cases Phoenix CIS will endeavour to ensure that these discrepancies are corrected. Phoenix CIS accepts no liability for loss due to such discrepancies, for example where the investor has relied on the information contained in the report to help them make investment decisions. The real-world comparisons have been calculated through the Carbon Footprint Calculator provided by Carbon Footprint Ltd, using: Carbon Footprint Calculator using:

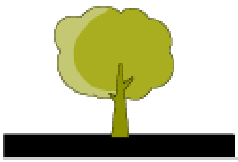


**Car**
The emissions produced by the average petrol car driven for 5398 miles. This is the distance the average car travelled in 2021.



**Flight**
The emissions produced from a direct one-way flight between Edinburgh and New York on an economy ticket.

**Household energy consumption**
The average house uses 2900 kwh of electricity and 12000 kwh of gas consumption per annum. This equates to 2,800 kilograms of carbon emissions.



**Trees**
Rather than emitting carbon, trees are a way of capturing carbon from the air. A typical tree will absorb 1,000 kilograms of carbon during a 100-year lifetime.